# Privatisation in Brazil

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For the grand majority of the 20th century, the Brazilian state understood itself as the single driver of industrialisation in the country. Beginning with Getúlio Vargas's "Industrilização por substituicão de importações" (ISI) in the 1930s, the government constructed a wide network of state-owned enterprises (SOEs) in steel, mining, energy, and telecommunications industries, assuming that only the public sector possessed enough capital to build a modern economy and aiming to divert Brazil's focus from agriculture to heavy industry. By the late 1980s, this model had clearly failed, as hyperinflation, chronic budget deficits, and the technical inefficiency of many SOEs began to emerge across the country. The Programa Nacional de Desestatização (PND), launched under President Fernando Collor in 1990 and expanded under President Fernando Henrique Cardoso, began three decades of privatisation campaigns in steel, mining, telecommunications, electricity, and, most recently, sanitation. Privatisation in Brazil, evaluated across major episodes in multiple industries, has been an important contributor to allocative efficiency, reduction of national debt, and consumer welfare, although this depends heavily on competition, regulation, and adequate investment. For the purposes of this investigation, a privatisation is deemed successful if it improves allocative efficiency and firm productivity while ensuring social welfare does not decrease substantially. Conversely, a failed privatisation is when efficiency gains are direct results of price increases and workforce reductions, producing an observable decrease in social welfare. The following analysis assesses the success and failures of privatisation in heavy industry, telecommunications, and lastly, the still-incomplete sanitation reform for the future.

The first phase of PND targeted firms operating in relatively competitive markets, where theoretically state ownership was not required at all. The gradual sale of Usiminas in October 1991, Brazil's largest privatisation campaign up to that point, culminated in the 1997 sale of Companhia Vale do Rio Doce (CVRD), a mining giant which Vargas founded to supply vital iron ore to the Allies in WWII under the 1942 Washington Agreements[1]. The government justified Vale's sale arguing that public ownership had constrained the firm's efficiency, as time lags for legislation to pass and the Treasury's chronic inability to fund capital expenditure had left the company extremely under-invested compared to its massive resource base, especially in the mines in southern Pará. The biggest stake was sold for 3.3 billion reais to Consórcio Brasil, a price that,

[1]Corrêa, Maria Letícia. "Os 'Acordos de Washington' de 1942 E a Criação Da Companhia Vale Do Rio Doce." Revista Maracanan, UERJ, Rio de Janeiro, Brasil, 2022.

adjusted for inflation, corresponds to roughly 22 billion reais today, and which future market performance suggests significantly undervalued Vale's long-run output potential, as its now worth well over 300 billion reais[2].

Economists Pinheiro, Anuatti-Neto, Barossi-Filho, Carvalho and Macedo agree that privatisation in Brazil has massively increased the efficiency and output of these companes. Pinheiro's 1996 study of fifty former SOEs, comparing performance before and after sale, found significant improvements in profits and efficiency, highlighted by an average 83% increase in sales per employee by 1994[3]. Anuatti-Neto, Barossi-Filho, Carvalho and Macedo's subsequent analysis, published in 2005 and covering PND transactions in more depth up to 2001, corroborates Pinheiro's findings[4]. However, the latter source notes that a meaningful share of the efficiency gain derived not from productivity improvements, but from firing a large portion of the workforce and from price adjustments that shifted surplus from consumers toward shareholders. Even though the companies themselves improved productivity exponentially after privatisation, PND campaigns often led to mass unemployment in industrial working-class regions. For example, after CSN's privatisation in 1993, steel factories in Volta Redonda cut their workforce from 22,000 in 1989 to only 9,000 by 1997, a reduction that devastated an town whose entire economy was based on those factories despite CSN's massive 129% output boost in the same period[5]. On one hand, the layoffs meant that many steelworkers went into informal, lower-paying jobs, leading to a reduction in living standards for these workers, straining Volta Redonda's overall social welfare[6]. However on the other, a positive benefit for the municipality is that the privatisation meant the city had to stop being dependent on only one firm, allowing different industries to grow and become more relevant, a process which is still occurring, into one of Brazil's major logistics and cargo distribution hubs, due to its proximity to multiple highways.

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[2]vLex International Law. Chapter 20: Case Study of the Recent Privatization of Companhia Vale do Rio Doce (CVRD) in Brazil.

[3]Pinheiro, A. C. (1996). Impactos microeconomicos da privatizacao no Brasil. Pesquisa e Planejamento Economico, 26(3), 357-398.

[4]Anuatti-Neto, F., Barossi-Filho, M., Carvalho, A. G., & Macedo, R. (2003). Costs and Benefits of Privatization: Evidence from Brazil. Latin American Research Network Working Paper No. R-455. Inter-American Development Bank.

[5]Haag, C. (2011). A City Built from Sweat and Steel. revistapesquisa.fapesp.br

[6]Haag, C. (2011). A City Built from Sweat and Steel. revistapesquisa.fapesp.br

Despite the consequences for Brazil's labour force and rising unemployment rates in the 1990s, the economists cited above suggest that the underlying inefficiency of state management in Brazilian heavy industry was real and substantial, as almost all PND companies in this sector improved efficiency, output, and profitability after privatisation. It is possible that Vale, Usiminas, CSN, or any other heavy industry firms may not have continued functioning had they remained under state ownership, due to its massive underinvestment in capital, inability to cut uneccessary and inefficient costs, and their massive burden to national debt. According to Annuati-Neto's research paper, PND sales cleared over 18.1 billion dollars of SOE debt off the government's budget, thus allowing for a reduction in national debt. Vale's subsequent boom to one of the world's largest mining firms, and Brazil's 3rd largest company by market capitalisation, is difficult to reconcile with the counterfactual of continued state ownership under the fiscal constraints of the 1990s.

Still, the industrial privatisations were not the only ones happening in the PND reforms, as multiple firms in telecommunications and electricity sectors were also privatised. However, the success of these privatisations were heavily dependent on the regulation surrounding it. The 1998 sale of Telebrás, then Latin America's largest privatization at roughly 22 billion reais, 64% above the base auction price, was preceded by the 1997 Lei Geral de Telecomunicações and the creation of a state-owned regulator, Anatel, prior to the transaction[7]. Anatel holds tariff-setting authority, meaning it can sanction Telebrás and prevent it from setting extremely high prices, thus allowing for competition to emerge and a competitive market. The number of active telephone connections rose from 13 per 100 inhabitants in 1998 to nearly 28 by 2000, mobile subscriptions grew by roughly 340% by 2000, and total connections expanded from 28 million in 1998 to more than 330 million by 2023, alongside more than 200 billion dollars in private sector investment[8]. Thus, the evidence points to the idea that these positive outcomes may have only possible through the privatisation of Telebrás, but required Anatel's regulation of the sector to prevent the creation of a monopoly.

While a change in ownership can allow for a more widespread supply of electricity and an improvement in efficiency, political concessions can often mandate regulatory reform that erode

[7]International Telecommunication Union. (2001). Effective Regulation: Case Study Brazil. ITU News.
[8]Rio Times. (2023). 25 years of telecommunications privatization in Brazil: investments reach over US$200 billion.

the effects of that efficiency gain. The electricity industry followed a similar trajectory, culminating in June 2022 with the privatisation of Eletrobras, Latin America's largest electricity company, in a share sale worth roughly 5.7 billion dollars, approximately 29.3 billion reais at the time[9]. The sale reduced the federal government's stake from 72% to approximately 45%, ending majority state control of a firm responsible for around 28% of Brazil's electricity generation. Meanwhile its nuclear subsidiary, Eletronuclear, and its stake in the binational (Brazilian and Paraguayan) Itaipu plant were excluded from the transaction and remain state-owned[10]. On one hand, the privatisation meant a capital injection of over 30.4 billion reais directly in the firm's electricity transmission projects, allowing the firm to invest in alternative energy supplies and ultimately create a renewable energy system focused on wind and solar energy. In addition, after privatisation, the firm boosted its energy transmission and generation in Brazil's Northeast region, which traditionally had limited and unstable access to electricity during the SOE days of the firm, allowing more citizens to get access to electricity. On the other hand, to secure Congressional approval for this privatisation from gas-producing states, a mandatory gas-powered energy quota was forced on to the new owners, which analysts from Clifford Chance estimate could add as much as 10 billion dollars in extra costs for Eletrobras, effectively undermining the efficiency gain of privatisation[11].

The most important current episode of privatisation is the ongoing implementation of the Novo Marco Legal do Saneamento (Law 14,026/2020), which ended the government renewal of municipal service contracts with state-owned water companies and mandated regional, competitive, water firms and services. The results of this ongoing privatisation substantiate the reform's objective, despite highlighting how far Brazil remains from universal water service. Private participation in the water sector increased, as private investment rose from 15.1% in 2020 to 27.3% in 2023. 54 auctions across 20 states have mobilized roughly 160.6 billion reais in private investment, and the average per-capita investment in water and sanitation companies increased by about 56.5% between 2021 and 2023[12]. As this reform is currently ongoing and far from complete, these statistics only show the current progress of the privatisation campaign instead of a definitive proof of success. On the other hand, private investment remains only 57% of the level the state

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[9]Enerdata. (2022). Brazilian electricity company Eletrobras privatised after a US$5.7bn sale.
[10]Inter-American Dialogue. (2022). What Do Privatization Efforts in the Energy Sector Mean for Brazil?
[11]Clifford Chance / IFLR. (2022). Deal: Eletrobras’ privatisation explained.
[12]Senado Noticias. (2025). Saneamento avanca com marco legal, mas investimentos ainda sao insuficientes.

Treasury deems necessary for water universalisation, especially in the northwest region, and the Instituto Trata Brasil projects that universal coverage will not be achieved until 2070 at current rates, thirty-seven years past the 2033 target[13]. These figures demonstrate that private capital, however efficiently, sometimes may not substitute government provision in low-income, low-density regions where profit returns are structurally thin. This is precisely why the sanitation reform, retains public regulation through the "Agência Nacional de Água" (ANA) that pools profitable urban markets together with unprofitable rural ones, an institutional hybrid that combines private efficiency with public universalisation goals rather than treating the two as substitutes.

This hybrid model may be an appropriate framework for judging what should be privatised in Brazil's future.

- First, competitive industries with no or little natural-monopoly characteristics, such as state-level banks and regional development companies, can be immediately completely privatised without any controversy. In economic theory, this would provide full force efficiency and provide much more potential economic growth.
- Second, network utilities with natural-monopoly segments, like water, sanitation, electricity distribution, can also be fully privatised and transferred to the private sector to increase efficiency and output. Given the tendency for newly privatised businesses to stop functioning in low profitability regions, this would require the creation of an independent regulator, such as Anatel, with tariff-setting authrotiy and universal-service obligation enforcement to guarantee remote areas also have access to the goods. This pooling format where firms planning to operate in profitable urban areas would also be forced to supply rural areas implies a trade-off for the firm, between the costs of rural Brazil and the financial reward of urban Brazil.

Third, a narrow category of assets which have strategic externalities deserve a gradual, but complete privatisation, such as CSN's mines in central Minas Gerais. This is not because government management of these SOEs has been effective on the contrary, politically motivated steel and iron ore prices and CSN's CEO's involvement in the Lava Jato scandal proves state

[13]Instituto Trata Brasil & GO Associados. (2024). Avancos do Novo Marco Legal do Saneamento Basico no Brasil.

ownership has often been inefficient and at times corrupt[14]. However, these assets are so valuable and technologically complex, that an impulse, immediate privatisation to a single buyer could lead to the formation of gigantic monopolies in Brazil, similar to the formation of the oligarchs in Boris Yeltsin's Russia. Therefore, the privatisation of these firms should definitely happen, as opposed to being state-owned, but should be a cautious, gradual process, over a couple of years, to ensure multiple distinct stakeholders and a competitive market.

As a whole, Brazil's privatisation movements historically were generally very successful, and if the correct steps are taken, the future ones could be even more so. The heavy industry sales of the 1990s generated measurable efficiency, output, and profit gains. The telecommunications sales demonstrates what privatisation can achieve when preceded by credible regulatory anti-monopoly systems, while the ongoing water and sanitation campaigns are currently attracting an increasingly high level of private investment. The task facing the next generation of Brazilian economists, politicians, and policymakers is therefore not to ask the question of whether or not to privatise, but to guarantee that the privatisation processes are correctly performed, at appropriate prices, with multiple regulatory agencies for all industries, and to a wide range of buyers. This way, the Brazilian economy can not only become more efficient, but also prevent monopolies from emerging. Approached with this discipline, further privatisation in the country may strengthen the Brazilian economy, which has the potential to be one of the world's greatest, but its years of corrupt and inefficient state managing of firms are one of the principle causes it currently fails to reach this level.

[14] World Bank. (2021). SOE Reforms in Brazil following “Lava Jato”.

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